of our fund-of-fund investors had all their capital withdrawn by their clients, so they had to sell everything. After having had no net redemptions for the first eight years of the fund, between October 2008 and March 2009, nearly half of the assets were redeemed. Bizarrely, though, within three months, all the money that had left came back. As soon as markets stabilized, investors who had us on their watch lists for years, but were unable to invest because we were closed to new capital, stepped up to the plate, forcing us to close the fund once more.

Having been both a long-only fund and hedge fund manager, how would you compare the two?

Managing long-only money is really easy because if you are up more than the index, everyone loves you, since a huge majority of the managers, 85 percent or so, underperform the index. And even when you lose, as long as you are losing less in relative terms, people still love you. Whereas if you are a hedge fund manager, when the market is up, investors want you to perform like the market or better, and when the market is down, they want you to perform like cash.

Why do such a large percentage of long-only managers underperform the index?

There are multiple reasons for it. First, management fees in emerging markets are relatively high—typically, 100 to 200 basis points. Second, the high volatility of emerging markets leads to a bias of managers making poor investment decisions, such as panicking out of positions near the bottom and jumping into positions near the top because they are afraid of missing the move. Third, the composition of the emerging market index changes frequently, which leads to a negative bias when managers sell a stock that has been dropped from the index and is under widespread selling pressure. Fourth, and perhaps most important, emerging markets tend to behave more irrationally than any other market because a large percentage of participants in these markets are local retail investors. These local investors will often make decisions based on reasons that you and I would not consider rational, such as rumors and conspiracy theories. I think if you took a poll among local emerging market investors, two or three times as many of them would think that